

PART II

Causes

CHAPTER THREE

Individual

Near the top of an hour-long television special that aired on the Seattle-area ABC affiliate KOMO-4 in early 2019, the narrator posed a question: “What if Seattle is dying, and we don’t even know it?” It’s a worthy, if provocative, notion. Certainly, we would want to know what this means and whether it’s the case. The documentary, *Seattle Is Dying*, a splashy feature on homelessness that would go on to make national headlines, was clear in its diagnosis. Seattle is dying, homelessness is to blame, and the homeless are to blame for their lack of housing. The *National Review* sums up the documentary’s thesis by pointing to drugs, noting that “rampant and untreated and unprosecuted drug use . . . [causes a] chain reaction of widespread crime and intense degradation of public places.” And this, the reviewer asserts, “is the core of Seattle’s decline.”¹

Seattle is far from the only city in which these concerns are voiced by observers and concerned residents. In *City Journal*, a publication of the Manhattan Institute, contributing editor Heather Mac Donald penned a 2019 article entitled, “San Francisco, Hostage to the Homeless.” In an echo of *Seattle Is Dying*,

Mac Donald writes, “Failure to enforce basic standards of public behavior has made one of America’s great cities increasingly unlivable.”² Supported by jarring photographs and firsthand interviews with unsheltered San Franciscans, Mac Donald argued that the city’s under-policing of drug crimes and permissive policies have encouraged many people to choose to remain homeless once they find themselves on the street—altogether contributing to a breakdown in social order and “bourgeois norms.” Near the end of her diagnosis, she offers a prescription: “If San Francisco wanted to give its homeless addicts their best shot at stability, it would go after the open-air drug trade with every possible tool, including immigration law, however unlikely such a change of course is.”

In this chapter, we begin the empirical portion of this book by asking whether diagnoses of homelessness like KOMO’s and Mac Donald’s can explain the conspicuous variation in rates of homelessness across the country. Among the explanations we consider are substance use, mental illness, poverty, and unemployment. We also address the role of “bad luck” as offered by Brendan O’Flaherty.³ In essence, we argue that if these individual conditions have no positive statistical relationship with rates of homelessness between cities, then we can’t consider these factors to be the underlying cause of regional variation in homelessness. And by definition, if they can’t explain regional variation, then they can’t tell us why a city like San Francisco’s homelessness crisis is so much more severe than, say, Charlotte’s.

THE ECOLOGICAL FALLACY

Central to this book is the concerted effort to focus our attention on differences between cities rather than those between

individual people. We—perhaps like planners, policymakers, or other concerned residents—want to understand why some cities have high rates of homelessness and others do not. (Other people studying homelessness, like case managers working for service-delivery organizations, might be more interested in the pathways into and out of homelessness for a specific individual.) Without knowing anything about homelessness in the cities in our sample, one might imagine that underlying variation in their rates of homelessness might be driven by the fact that the cities in question are somehow organized differently—whether socially, politically, or economically. From a similar position of unfamiliarity, someone else might imagine that the underlying variation is driven by differences in the composition of the cities’ populations. In September 2019, the Trump Administration’s Council of Economic Advisors published a report on homelessness and argued as much, noting, “Severe mental illness, substance use problems, histories of incarceration, low incomes, and weak social connections each increase an individual’s risk of homelessness, and higher prevalence in the population of these factors may increase total homelessness.”⁴ Using individual risk factors to make predictions about population-level prevalence is frequently incorrect, and in this specific case, it is.

One of the risks of analyzing social phenomena at the scale of the city is that it can lead to misleading or inaccurate conclusions about the underlying population in a given geography. Before individual-level data were widely available through databases like the Integrated Public Use Microdata Series (IPUMS), social science researchers would often leverage summary data at a broader unit of analysis—neighborhood, city, county, state, or nation—to draw conclusions about people who live in that particular location. Research has repeatedly shown that such

generalizations are inappropriate and frequently incorrect.⁵ These generalizations are not unique to social science research, either; rather, they're symptoms of a broader danger in statistical analysis that arises when comparing aggregate measures to their constituent parts. Broadly speaking, the phenomenon—known as the ecological fallacy—occurs when findings generated at an ecological unit of analysis (city, county, state, or nation) are mapped back to the individuals in those jurisdictions. Using individual-level data, we can (and ought to) test whether broader conclusions based on population measures of larger areas of geographic aggregation remain true for individual people who live in those areas.

A common example of an ecological fallacy stems from the analysis of literacy and immigration.⁶ Imagine a study of U.S. cities that reveals, among other findings, that cities with the highest English literacy rates also have the highest rates of immigration. Based on this observation, one might conclude—and statistical averages across cities would support the conclusion—that immigrants have high levels of English literacy. But an analysis of individual-level data might suggest the opposite relationship: Since many U.S. immigrants must learn English as a second language, rates of English literacy among immigrants are lower than that of the U.S.-born population. As it turns out, on average, people simply immigrate to places with high existing rates of English literacy. Using city-level data to make assumptions about the attributes of individuals in those cities leads to an incorrect conclusion: an ecological fallacy.

In this book we are careful to avoid committing an ecological fallacy of our own. We avoid much of the risk here in our choice of subject: We don't attempt to characterize the attributes or behaviors of individual people. This is a book about cities, and

our conclusions remain about cities. Certainly, given the evidence laid out in the last chapter, attributes that can sort people into groups are associated with homelessness, among them race, drug and alcohol use and abuse, mental illness, poverty status, unemployment, eviction history, and the breakdown of relationships. In this chapter, as we investigate some of these individual-level factors, we merely ask whether variation in these attributes exerts any meaningful effect on rates of homelessness at a higher level of analysis—the city or county. If levels of drug use are not disproportionately elevated in places with high rates of homelessness, we can't in good faith cite drug use as the factor that explains geographic variation.

In fact, here we ultimately identify several instances in which other researchers' individual-level findings are not echoed in city-level analyses. This doesn't mean that these researchers' findings are incorrect; it means they can't be scaled up to explain intercity differences. We know that Black and Brown people, for example, are disproportionately likely to experience homelessness, as are people who are unemployed or who have low incomes. But at the level of a city, we find that homelessness thrives in places that are disproportionately white and Asian, with high median incomes, and low levels of unemployment. We would commit an ecological fallacy by arguing that highly paid white people are more likely to be homeless.

More importantly, one of the reasons ecological fallacies are of essential importance here is that our awareness of them allows us to avoid making dangerous claims about people and their experiences. If we publish a chart illustrating a negative relationship between poverty rates and homelessness rates, for example, that doesn't mean readers can assume that poverty doesn't cause homelessness. Individual-level relationships still hold. (It would

be ludicrous to argue that poverty doesn't increase one's risk of experiencing homelessness.) In other words, it's still true that we know a lot about the risk factors that cause people to become homeless at the individual level. What this knowledge doesn't allow us to do in a *de facto* manner is scale these observations up to the level of the population and assume we'll find correlation—much less causality.

INDIVIDUAL FACTORS

In the remainder of this chapter, we explore the relationships between a range of individual explanations of homelessness and per capita rates of homelessness across the metropolitan areas in our sample. We begin with poverty.

Poverty

One of the most intuitive explanations of homelessness is poverty. By definition, for those looking for housing, a lack of material resources to procure it is at the root of homelessness—there is little debate on the relationship between poverty and homelessness. As described by Barrett Lee and colleagues, “The poverty component, though implicit, is fundamental: Affluent individuals who unexpectedly lose their housing (to fire, flood, and the like) can replace it quickly and avoid a prolonged homeless episode.”⁷ And yet, while it is obvious that people experiencing homelessness are most likely poor, there are many people with low incomes who remain housed their entire lives. Therefore, it is clear that a range of factors—including poverty—converge to help explain homelessness at the individual level.⁸

To identify the role that poverty plays in explaining variation in rates of homelessness across the country, we must first understand the landscape of poverty in the country. Within our sample, we see significant variation in poverty rates. The level of poverty tends to be a bit lower in the county-based CoCs, as these areas may also include affluent suburbs. Over the thirteen years of data in our sample, the vast majority of county CoCs have poverty rates between 10 and 20 percent, with Santa Clara County (California) on the low end (often just above 6 percent) and a substantial cluster of counties—including Multnomah County (Portland, OR); Los Angeles County; Hamilton County (Cincinnati, OH); Miami-Dade County; Dallas County; and Sacramento County—occasionally reaching annual poverty rates near 20 percent. City-based CoCs have slightly higher rates of poverty on average, along with greater variation in rates between cities. Other than Detroit, which saw a poverty rate as high as 42 percent in 2012, most city-CoC poverty rates fall between 10 and 30 percent, with San Francisco exhibiting the lowest rate of poverty of any city in the sample.

If poverty causes homelessness, one might assume—as the Trump administration’s Council of Economic Advisors has—that regions with high rates of poverty will also have high rates of homelessness; that is, a disproportionate presence of poor people in a given location will lead to disproportionate rates of homelessness. The actual relationship, shown in Figure 7, tells a very different story. Poverty rates are, more often than not, relatively low in places with relatively high rates of homelessness. Somewhat surprisingly, CoCs with the highest rates of poverty in our sample (Detroit, Miami, Dallas, Cincinnati, and Philadelphia) have some of the lowest rates of homelessness in the country. This finding suggests that homelessness—at a metropolitan



Figure 7. Percent with income below poverty level versus PIT count (per capita). Dashed lines indicate a linear regression of per capita PIT counts onto poverty rate between 2007 and 2019 for a sample of U.S. regions. Data source: HUD / U.S. Census Bureau

level—is more a symptom of affluence than of poverty.⁹ In an echo of this observation, two recent studies by the consultancy McKinsey & Company highlight affluent coastal cities as the primary places in which contemporary homelessness thrives.¹⁰ People experience poverty in every city in the country, but the consequences of being poor in a richer area appear to be more profound than they would be in a less affluent location, all else being equal.

One of the starkest examples of this relationship comes from Detroit, Michigan. Beginning in the middle of the last century, the decline of manufacturing—combined with the growth of the suburbs—reshaped this once prosperous manufacturing hub. In postwar Detroit, the automotive industry provided abundant manufacturing jobs that created and supported a strong and stable middle class. As these jobs disappeared, the city of

Detroit transformed: Economic activity slowed, unemployment increased, the population fell significantly, businesses left, and poverty rose. In *Origins of an Urban Crisis: Race and Inequality in Postwar Detroit*, historian Thomas Sugrue paints a vivid picture of the city's decline in its opening pages: "The story I tell is one of a city transformed. In the 1940s, Detroit was America's 'arsenal of democracy,' one of the nation's fastest growing boomtowns and home to the highest-paid blue-collar workers in the United States. Today, the city is plagued by joblessness, concentrated poverty, physical decay, and racial isolation."¹¹

Sugrue attributes the decline of Detroit and other manufacturing cities in the United States to three different forces: loss of jobs, persistence of workplace discrimination, and racial segregation in housing. He argues that each of these forces, alone, could have had dire consequences, but when combined, they produced a devastating urban crisis that culminated in the city filing for bankruptcy in 2013. Detroit is not alone in experiencing such a decline; other manufacturing cities in the industrial Midwest and Northeast suffered a similar fate. But Detroit's decline has been the most precipitous. By 2010, over 38 percent of Detroit residents were living below the federal poverty line. That hasn't always been the case. In the 1970 census, the poverty rate in Detroit (14.9 percent) differed little from other cities in the country, including Chicago, Houston, Milwaukee, Minneapolis, San Francisco, and Seattle. In the same year, Atlanta, Boston, and Cleveland all had higher rates of poverty than Detroit. Forty years later, a substantial gap had emerged between dynamic, wealthy cities and Rust Belt victims of manufacturing decline. In the aftermath of the Great Recession, while Detroit and Cleveland saw 2010 poverty rates far above 30 percent, poverty in coastal cities like Seattle and San Francisco

hovered around 13 percent. A huge gap had emerged between the metropolitan haves and the have-nots.

Despite these economic and social conditions, Detroit's level of homelessness is relatively low. Between 2009 and 2019, the per capita rate of homelessness in Detroit ranged from 2.6 per 1,000 people (in 2018) to 4.4 (in 2011)—far lower than many coastal cities, where per capita rates often exceed 10 per 1,000. These relatively low levels of homelessness challenge the prevailing narrative that homelessness is a result of poverty. As we'll argue more extensively in chapter 6, homelessness hasn't exploded in Detroit because—during the period of our study—population declines and low wages have helped keep housing abundant and relatively cheap. But as we've already seen, not all cities look like this one.

In 1970, the broad socioeconomic profiles of Boston and Detroit were remarkably similar. (Boston's poverty rate was modestly higher.) Like Detroit, Boston depended on manufacturing as its primary source of employment, and by 1970, the city had lost a significant proportion of its population as more and more people moved to the suburbs. The loss of people and jobs in Boston coincided with the deterioration of its manufacturing base. A report by the Boston Redevelopment Authority highlighted the important shift in the city's trajectory that occurred next: "To replace its shrinking industrial base the city needed to convert itself into a center of the service and finance based economy that was beginning to emerge nationwide. The concentration of world-class colleges and universities made the city a logical choice for the industries that were to eventually locate here."¹²

Today, Boston is a thriving East Coast hub known for its elite educational institutions and its leadership in industries like health care, professional services, and finance. Employment has

increased dramatically in the city after falling during the 1970s. Over the past half-century, Boston built a modern economy on technological innovation and a highly educated workforce.

From 1970 to 2010, as the poverty rate in Boston increased modestly from 16 to about 20 percent, the proportion of people living in poverty in Detroit increased 2.5-fold from 15 to almost 40 percent. Yet despite the relative affluence of Boston, per capita rates of homelessness on any given night exceed 8 per 1,000, more than twice the level of Detroit. This stark contrast underscores the finding that poverty alone cannot explain regional variation in rates of homelessness—at least not in the manner that one might expect, given individual-level forces. At the level of the city, homelessness thrives amid affluence, not poverty.

Unemployment

We know from individual surveys (and common sense) that job loss can cause people to lose their housing.¹³ This causal link between job loss and homelessness gets particular attention during times of economic hardship, when overall unemployment rises. During the Great Recession, analysts extensively discussed how widespread job losses could lead to higher levels of unemployment—and in turn, homelessness. In 2009, the National Coalition for the Homeless published a fact sheet on employment and homelessness, in which they noted that, “as the United States experiences the worst financial crisis since the Great Depression, the homeless population has increased significantly. The worsening economy and rising unemployment numbers emphasize a number of reasons why homelessness continues to exist and grow in exponential numbers in the United States.”¹⁴ The 2009 report stressed that while unemployment may produce

a bout of homelessness, barriers associated with homelessness may also prolong a spell of joblessness and make securing new employment more difficult—the relationship could amount to a vicious cycle.¹⁵ A decade later, the economic hardships associated with COVID-19 in 2020 have led many observers to make similar arguments that the abrupt increase in unemployment could lead to far higher levels of homelessness than currently exist in the country. At the beginning of the pandemic, researcher Brendan O’Flaherty estimated a 40 to 45 percent increase in homelessness by the end of 2020.¹⁶

In our sample of cities and counties, a fairly predictable pattern emerges when analyzing unemployment between 2007 and 2019. As the economy expanded after the recession, unemployment rates decreased. By 2019, only one city in our sample—Detroit—had an unemployment rate over 10 percent. Philadelphia and Baltimore saw relatively high rates as well—over 7 percent. Among the counties in our sample, only one had an unemployment rate over 6 percent: Cuyahoga County (Cleveland). On the other side of the spectrum, we observe a number of metropolitan areas with very low unemployment rates. San Francisco, King County (Seattle), Santa Clara County (San Jose), Hennepin County (Minneapolis), Mecklenburg County (Charlotte), Miami-Dade County, and Travis County (Austin) all have unemployment rates below 4 percent. As in the case of poverty rates, we see meaningful geographic variation in unemployment rates around the country. Our question is whether this variation will help us explain why rates of homelessness differ across the United States.

Figure 8 highlights the relationship between unemployment and per capita rates of homelessness. In an illustration that mirrors the city-level relationship between poverty and homelessness, rates of homelessness are relatively low where unemployment is

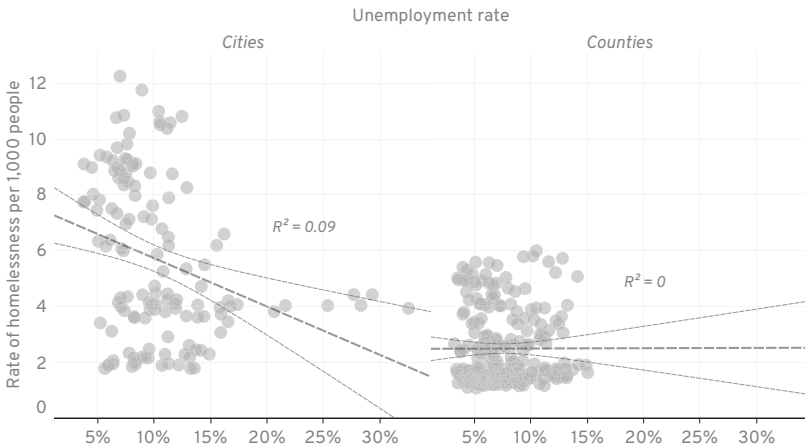


Figure 8. Unemployment rate versus PIT count (per capita). Dashed lines indicate a linear regression of per capita PIT counts onto the unemployment rate between 2007 and 2019 for a sample of U.S. regions. Data source: HUD / U.S. Census Bureau

high. It is only in areas with robust labor markets and low rates of unemployment—booming coastal cities—where homelessness is abundant.¹⁷ In other words, rates of unemployment can't explain why coastal cities like San Francisco and Seattle have four times the rates of homelessness of Chicago. It is conceivable that rising unemployment—at a national scale—may increase average rates of homelessness throughout the nation, but higher proportions of unemployed people have no predictive value in terms of explaining regional variation.

The story of Philadelphia highlights how persistently high levels of unemployment can coexist with relatively modest levels of homelessness. In 1970, the civilian unemployment rate in Philadelphia was only 4.6 percent. Dominant employers at that time were in manufacturing, the retail trade, and professional services. As the nation writ large transitioned its economic engine

from manufacturing to services, Philadelphia followed suit. From 1970 to 2011, Philadelphia's manufacturing employment fell from 187,100 to 44,475; at the same time, jobs in education and health care more than doubled to 200,051.¹⁸ Between 1970 and 1980, the unemployment rate in Philadelphia more than doubled to over 10 percent, where it remained until spiking to nearly 17 percent during the Great Recession. By 2019, post-recession job growth had helped the city reach a multi-decade low in unemployment at just over 8 percent (still much higher than most of the other cities in our sample). And yet, despite persistent high levels of unemployment, the rate of homelessness in Philadelphia is far lower than many other cities. A cluster of postindustrial cities—like Detroit, Baltimore, and Philadelphia—exhibit far lower rates of homelessness than other East Coast cities like Washington, D.C., New York, and Boston.

Just south of San Francisco is Silicon Valley, the American epicenter of technology and venture capital. In the eighty years since William Hewlett and David Packard named their new company in a Palo Alto garage, the stretch of land has housed contemporary titans of industry, among them Apple, Yahoo, Google, and Facebook. The county that covers much of the area is Santa Clara, which includes the metropolitan area of San Jose. Its northern boundary includes Palo Alto, the home of Stanford University; the county reaches southeast along Highway 101 to the city of Gilroy. Over the last half century, this sleepy, arid stretch of land has become the economic engine of the United States—and boasts wealth and job growth that few regions can rival.¹⁹ In 1970, unemployment rates in Santa Clara County—and its primary city, San Jose—were higher than in Philadelphia, Baltimore, Milwaukee, Chicago, and Cleveland. But unlike the story of many of the nation's manufacturing cities, Silicon

Valley's unemployment rate continued to fall over the succeeding few decades to a low of 3.9 percent in 2000 (before rising again during the Great Recession.) By 2019, the unemployment rate in Santa Clara County had fallen, once again, to less than 3.5 percent. Yet in the face of a persistently strong labor market in Silicon Valley, Santa Clara County has relatively high rates of homelessness. Among the counties in our sample, only Multnomah County (Portland), Los Angeles County, and King County (Seattle) see higher rates. As the cases of Philadelphia and Silicon Valley demonstrate, unemployment doesn't help us understand the differences between these cities' experiences with homelessness.

Mental Health

In the summer of 2019, I (Gregg) found myself on a downtown Seattle street corner, just outside the flagship Nordstrom store, waiting on a stoplight to change. Next to me were—I suspected—two tourists. As we waited for the walk signal, a man approached, speaking loudly to himself and moving erratically. We were uncomfortable. As he neared us, the traffic light changed and we crossed the street. As we walked away, I heard one of the tourists say to her friend, “I can't wait to get out of this city.”

For people living in cities with large unsheltered homeless populations, this interaction may sound familiar. We don't know if the man I interacted with was experiencing homelessness or if he suffered from a severe mental illness, but all familiar indicators suggested both of these things were true. What's clear is that interactions like these can resonate emotionally with everyone involved—and they likely help construct a prevailing narrative that links homelessness and mental illness in a manner that may,

or may not, be grounded in reality. Certainly, research on the topic supports an association between the phenomena—roughly 20 to 30 percent of single adults experiencing homelessness also have some form of mental illness.²⁰ But the number of people experiencing homelessness who have a mental illness still represents a distinct minority of the overall homeless population. In any case, given existing evidence about the relationship between mental illness and homelessness (especially unsheltered homelessness), it's worth asking whether disproportionate regional rates of serious mental illness explain disproportionate regional rates of homelessness. Are cities like Washington, D.C., and Los Angeles merely home to comparatively more people with serious mental illnesses?

To explore regional relationships between mental illness and homelessness, we depart from our sample of thirty metropolitan areas due to data limitations. Within the U.S. Department of Health and Human Services lives the Substance Abuse and Mental Health Services Administration (SAMHSA), which maintains and publishes data on substance use and mental health. Because there is limited information on these conditions collected at the city or county level, we must rely on data at the state level to capture the sufficient number of observations needed to conduct credible statistical analyses. Accordingly, in this section, we compare state-level measures of mental illness and compare them to state-level per capita rates of homelessness.

Figure 9 shows no convincing relationship between states' rates of mental illness and homelessness. (Indeed, the modest relationship that appears to exist suggests the opposite conclusion that one might expect to reach: Homelessness rates are higher where serious mental illness rates are lower.) This observation does not suggest that mental illness doesn't contribute to

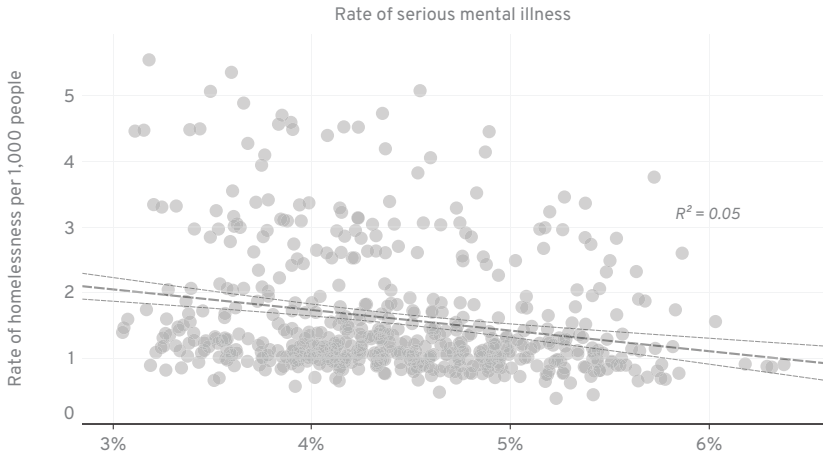


Figure 9. Rate of serious mental illness versus PIT count (per capita). Dashed lines indicate a linear regression of per capita PIT counts onto rates of serious mental illness in U.S. states between 2007 and 2019. Data source: HUD / SAMHSA

homelessness at an individual level; it implies that high rates of homelessness in certain states can't be attributed to a greater proportion of people with mental illnesses residing in those locations. Mental illness may help explain who becomes homeless within a given location, but it does not explain regional variation.

States with high rates of serious mental illness include Utah, Alabama, Colorado, Delaware, Wisconsin, Oregon, Kentucky, West Virginia, and Vermont. With the exception of Oregon, most see relatively modest levels of homelessness. On the other end of the spectrum, Hawaii has the highest per capita homelessness of the fifty states, but its rate of serious mental illness is among the lowest in the country. Other states with low levels of serious mental illness include New Jersey, Maryland, Connecticut, and Illinois, which also have relatively low levels of homelessness.

The point here is that little evidence links these two variables at the state level, and the limited association that does exist appears to suggest the opposite relationship one might expect, given what we understand about pathways into homelessness.

Drug Use

As discussed in the last chapter, drug use can be both a cause and a consequence of homelessness.²¹ This nuance is often lost in public discussion of homelessness: The seeming (visible) prevalence of drug use among people without shelter is a powerful emotional touchstone inexorably linking homelessness to drugs for large segments of the general public. For analysts like Heather Mac Donald, author of the *City Journal* article cited in this chapter's introduction, the link suggests a policy response: "Go after the open-air drug trade with every possible tool."²² For producers of the *Seattle Is Dying* documentary, too, homelessness is a drug problem that will be solved when officials confront an apparent drug epidemic in the city. In both cases, the individual-level association between drug use and homelessness implies a city-level policy response. But do regions with lower rates of drug use see lower rates of homelessness?

As in the analysis of mental illness above, we use state-level data from SAMHSA to examine the relationship between drug use and homelessness. We assess two measures of drug use, the rate of substance-use disorder (i.e., dependence on or abuse of one or more illicit drugs or alcohol) and rate of illicit drug use (see Figures 10 and 11). In each case, we observe a modest positive relationship between the two variables, but overall, substance abuse and illicit drug use explain very little variance in states' rates of homelessness: only 6 percent. (By way of comparison,

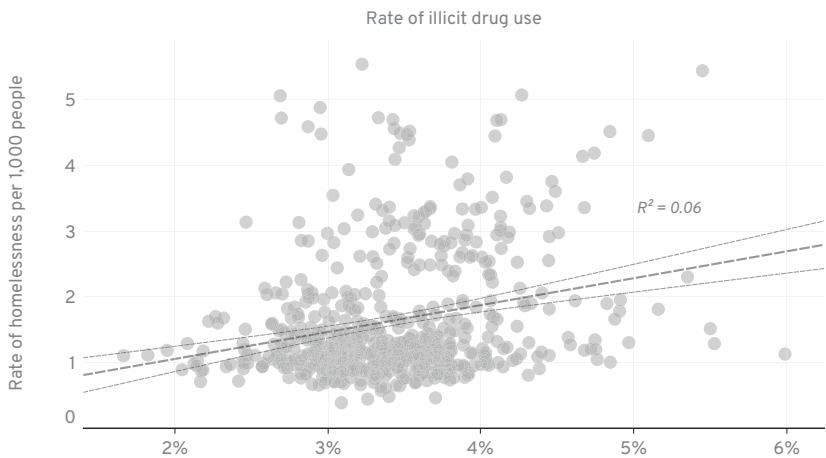


Figure 10. Rate of illicit drug use versus PIT count (per capita). Dashed lines indicate a linear regression of per capita PIT counts onto rates of illicit drug use in U.S. states between 2007 and 2019. Data source: HUD / SAMHSA

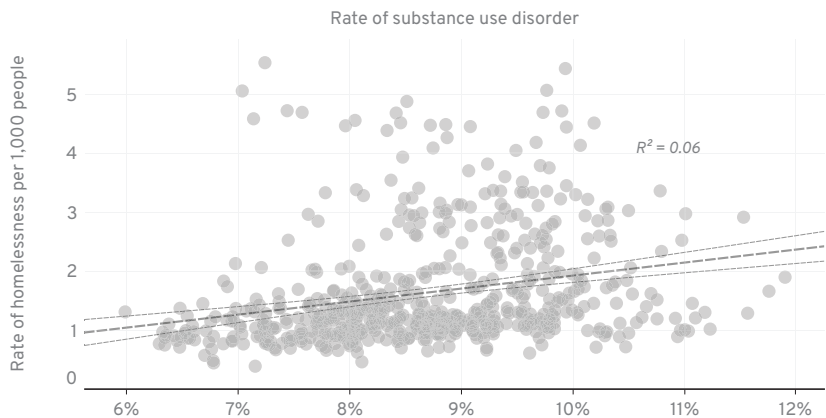


Figure 11. Rate of substance use disorder versus PIT count (per capita). Dashed lines indicate a linear regression of per capita PIT counts onto rates of substance use disorder in U.S. states between 2007 and 2019. Data source: HUD / SAMHSA

the negative relationship between mental illness and homelessness in the previous section also represented a statistical relationship in which the variable in question only explained 5 percent of the variance in homelessness rates.) We also examined state rates of use of nonprescription pain relievers (i.e., opioids) and observed a weak positive relationship that explained 2 percent of the variance in state rates of homelessness. Ultimately, none of these relationships sufficiently explains regional variation in rates of homelessness—and accordingly, none offers a corresponding policy prescription through this lens.

These findings are consistent with past research, which has found that drug use and dependency are not related to overall levels of homelessness.²³ Their implications are clear: Disproportionate rates of drug use fail to explain why certain regions see high rates of homelessness. Many drug users in New York, Washington, D.C., and Los Angeles may experience homelessness—and many may not. In all of these cases, though, overall drug use in these areas is not materially different from that in other places with far lower rates of homelessness. Accordingly, we can only conclude the disproportionate rates of homelessness in cities like San Francisco, New York, Washington, D.C., Los Angeles, and Seattle are *not* driven by more drug users residing in these locations. Something else is happening here.

Race

That a disproportionate percentage of the population experiencing homelessness in the United States identifies as Black or African American, Native/Indigenous, and/or Hispanic/Latinx should alarm Americans, but it should not surprise us. Centuries of oppression—at times blatant and violent, more frequently

subtle and pernicious—have created a nation that is often unresponsive to the needs and desires of people who aren't seen as white. This discrimination, generation after generation, has made it far more difficult to build health and wealth in the country without light skin. Studies like the Center for Social Innovation's 2018 report on race and homelessness have echoed this fact: Fewer things need to go wrong in your life for you to end up losing your housing if you're Black.²⁴

As cited previously, these disparities are borne out in cross-sectional and prevalence estimates of the population currently experiencing homelessness in the United States. In the language of demography or statistics, we would consider race to be a *risk factor* for homelessness, in that knowing one's race, all else being equal, tells us something about the average likelihood of that person having experienced homelessness (or experiencing homelessness in the future), given historical data. But we would not consider race or ethnicity to be a *cause* of homelessness. The odds of experiencing homelessness increase for people identified with specific races when structurally racist inequities across a range of systems—education, criminal justice, labor and housing markets, health care—interact with individual experience.

As people's experiences also interact with place, it's worth asking whether race explains any regional variation in homelessness (Figure 12). It doesn't. In fact, contrary to the individual-level associations between race and homelessness outlined above, cities in our sample with the highest relative Black populations—including Detroit and Baltimore—see some of the lowest rates of homelessness. Instead, homelessness rates are often higher in places with comparatively higher proportions of white people, including San Francisco, Boston, Portland, and Seattle. In any case, none of these statistical relationships explains much variance

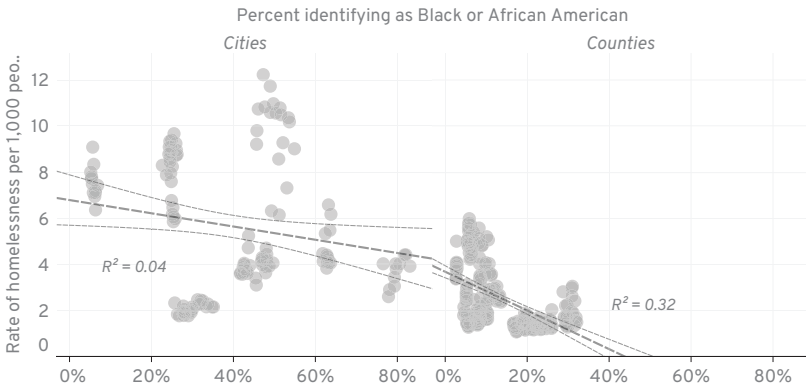


Figure 12. Percent Black/African American versus PIT count (per capita). Dashed lines indicate a linear regression of per capita PIT counts onto the proportion of persons identifying as Black or African American between 2007 and 2019 for a sample of U.S. regions. Data source: HUD / U.S. Census Bureau

in rates of homelessness across our sample, but where it does (in county CoCs), the relationship is negative; homelessness is lower where the proportion of Black/African American populations is higher. Like other individual factors, race may explain *who* becomes homeless in a given city, but it doesn't explain why one city has higher per capita rates of homelessness than another.

LUCK

A final individual risk factor for homelessness is bad luck. Brendan O'Flaherty highlights the role that luck plays in producing spells of homelessness.²⁵ An adverse medical event, mechanical breakdown of a car, natural disaster, or other similarly unpredictable event can drive some households into homelessness if they lack certain supports or insurance. Forms of insurance include actual private insurance policies (fire, flood, medical,

etc.), social insurance, a stock of financial resources, or social capital in the form of friends or family who could provide needed support. In the absence of these formal or informal supports, bad luck can amount to the difference between being housed and unhoused.

Operationalizing luck is tricky, but basic reason suggests it should be evenly distributed throughout a society. What's not evenly distributed is the environment in which serendipity and uncertainty unfold. An unlucky event in certain markets may be more likely to produce a bout of homelessness than in places where the local context is more favorable to precariously housed adults and families. It's hardly worth writing down here, but as far as we know, no evidence suggests that high rates of homelessness in coastal cities can be attributed to a disproportionate number of unlucky people living in those cities. Rather, when someone experiences a catastrophic event, some combination of structure and individual circumstance may lead to a bout of homelessness—while in other settings, the same event won't. Understanding these structural conditions is of central concern to this book.

SUMMARY

In this chapter, we investigate numerous—and popular—individual explanations for homelessness. In a strikingly consistent fashion, none of these explanations (poverty, unemployment, mental illness, drug use, and race) explains regional variation in rates of homelessness. Homelessness is low where poverty and unemployment are greatest; neither drug use nor mental illness reliably explains regional variance; race remains an individual risk factor for homelessness that fails to explain city-to-city variation.

To digest these findings, we need to return to the discussion of precipitating events versus root causes. There is little doubt that job loss and poverty can increase the risk of homelessness for someone. But the data presented here suggest they are not root causes of a given city's homelessness crisis. If unemployment and poverty were the sole root causes of homelessness, we would perhaps expect rates of homelessness to increase in step with the prevalence of these hardships. In fact, the opposite case is true. Regions with high rates of poverty and unemployment—like Detroit, Cleveland, and Baltimore—have some of the lowest per capita rates of homelessness in the country. At its core, this observation suggests that these individual explanations of homelessness are better characterized as precipitating events. In some circumstances, job loss *can* lead to homelessness. In other settings, it doesn't. We want to understand the settings and circumstances in which these hardships occur and when—and under what conditions—they spur homelessness.

Like unemployment and poverty, mental illness and drug use—clear individual risk factors for homelessness—fail to explain regional variation in homelessness. The failure of explanation is useful for delineating the types of statements we *can't* make. For example, we can't and won't argue that Boston's comparatively high level of homelessness is the result of more people with mental illness living in the city. More generally, the findings in this chapter offer a strong case that the composition of a city's population fails to explain its rate of homelessness relative to other cities. And if individual-level factors don't explain this variation, it's worth turning our attention to other cultural or structural explanations.